

to invest in ABC V. Using information only available at the time a fund is raised considerably weakens persistence estimates.³⁰

Just knowing about the firm ABC turns out not to be enough. Relationships and talent matter considerably in PE. Many top quartile funds are not available for general entry; the funds that are open are far below top quartile. Moreover, it is not so much the firm that matters—it is the partners who comprise the firm.³¹

Finally, the PE industry exhibits the same *decreasing returns to scale* that characterize the rest of the asset management industry. Kaplan and Schoar (2005) and others document that size is strongly negatively correlated with PE performance. That is, the bigger they are, the harder they fall.

3.6. ACADEMICS VERSUS INDUSTRY

While academics hold less than sanguine, or outright negative, views on PE investing, industry professionals sing its praises. For example, the Private Equity Growth Capital Council, an industry group of PE funds, reports that at the end of 2011 PE outperformed (net of fees) the S&P for one-, five-, and ten-year horizons by 7.1%, 5.7%, and 7.6%, respectively.³²

Why this discrepancy?

Phalippou and Gottschalg (2009) state three reasons why industry studies are misleading and overstate the benefits of PE investments:

1. Their data are too good.

Successful funds are overrepresented. Their data comes from firms that report, and why would you report if your returns are poor?³³ (This is *selection bias*, as discussed in Section 3.4.)

2. They use multiples, IRRs, and other nonreturn performance metrics.

I state one last time: *IRRs are not returns*. All these measures can be, and are, manipulated. None of these measures take into account risk. Even if a raw return is greater than the S&P 500, as the Private Equity Growth Capital Council claims, the number cannot be interpreted without knowing the risk taken to produce the return.

3. NAVs are subjective and judgmental.

NAVs tend to be biased upward. Some of this happens because of the zombie effect, where old and inactive companies have high accounting values, whereas their values should be near zero. Phalippou and Gottschalg write:

³⁰ See Hochberg, Ljungqvist, and Vissing-Jørgensen (2010) and Phalippou (2010).

³¹ See Ewens and Rhodes-Kropf (2012).

³² Private Equity Growth Capital Council, Private Equity Performance Update: Returns as Reported Through December 2011.

³³ The other biases of infrequent observations and survivorship bias are discussed in chapters 13, 16, and 17.